

DEBT & EQUITY

Lenders Are Underwriting Stabilized Multifamily on Lease-Up Risk, Not Location

PCCP's \$51.8M refi of a 97%-occupied 2025-vintage asset shows capital is rewarding proven absorption, not just market narrative.

July 23, 2026 · RE Business Online · 3 min read

A source-grounded Light Tower Insight. The complete note follows.

A 236-unit apartment complex built last year just secured \$51.8 million in senior debt. The more revealing number is not the loan amount. It is the 97 percent occupancy.

PCCP provided the financing to a joint venture between Phoenix Capital Management and P.B. Bell for the cash-neutral refinancing of Everly at Morrison Ranch in Gilbert, Arizona. The property opened in 2025. It is already 97 percent leased. That fact, more than the location or the sponsor names, is what made this loan possible.

The market signal is this: lenders are no longer underwriting multifamily on location alone. They are underwriting lease-up execution. A 2025-vintage asset in a strong Sun Belt submarket is not automatically financeable. It is financeable when the sponsor has demonstrated that the market will absorb the units at the rents the underwriting assumed.

Gilbert is a desirable Phoenix suburb with strong demographic tailwinds. But the Phoenix multifamily market has seen a wave of new supply deliver over the past 24 months. Vacancy rates in the metro have risen. Rent growth has moderated. In that context, a 97 percent occupancy rate on a garden-style community with 36 buildings and an average unit size of 986 square feet is not a given. It is a result.

The joint venture between Phoenix Capital Management and P.B. Bell achieved that result. P.B. Bell also self-manages the property. That vertical integration matters. A sponsor that controls both the development and the ongoing operations has a tighter feedback loop on leasing velocity, tenant retention, and operating costs. Lenders notice.

The loan is a cash-neutral refinancing. That means the new debt did not return equity to the sponsors. It replaced the construction loan or bridge financing that got the project through lease-up. The sponsors are not taking chips off the table. They are locking in permanent capital at a moment when the asset has proven it can perform.

This is the kind of transaction that appears when the capital markets are open but selective. Agency lenders, banks, and debt funds are all active in multifamily, but they are not writing checks on pro

forma. They are writing checks on trailing twelve-month operating statements. A 97 percent occupied 2025-vintage asset has a short operating history, but it has one. That is enough.

The underwriting condition that separates an investable deal from an attractive story is lease-up risk. Every new development has a story: the location, the amenities, the demographic trends. The story is easy to believe. The hard part is proving that tenants will actually sign leases at the rents required to service the debt. PCCP is betting that the sponsors have already proven that.

The cast of parties in this transaction reveals the incentive structure. The sponsors needed to refinance before the construction loan matured. They needed a lender willing to underwrite a recently stabilized asset without demanding a full three-year operating history. PCCP needed a deal that met its risk-return criteria in a market where competition for stabilized core assets is intense. The borrower got time. The lender got a basis it can defend.

The mechanism producing the pressure is the supply wave. Phoenix has delivered thousands of new multifamily units in the last two years. That supply has pushed vacancy up and rent growth down. A 2025-vintage asset that reaches 97 percent occupancy in that environment has effectively passed the market's toughest test. The loan is the reward.

The practical implication for owners and sponsors is straightforward. If you are developing multifamily in a supply-heavy market, your refinancing outcome will depend on your leasing velocity, not your location thesis. Lenders will ask for the rent roll before they ask for the market report. The asset that leases up fast and stays leased will command capital. The asset that does not will face a higher cost of debt, a lower advance rate, or both.

For lenders, the takeaway is equally direct. The bid for recently stabilized assets is real, but it is narrow. It is available only to sponsors who have executed through the most difficult phase of the development cycle. PCCP is not betting on Gilbert. It is betting on the sponsors' ability to fill 236 units in 18 months. That is a different bet, and it is a smarter one.

The next phase of the market will not be defined by who owns the best story. It will be defined by

who controls the cheapest capital. And the cheapest capital is flowing to the sponsors who have already proven that their story is true.

SOURCES

— RE Business Online —

<https://rebusinessonline.com/pccp-provides-51-8m-loan-for-refinancing-of-apartment-community-in-gilbert-arizona/>

LIGHT TOWER GROUP